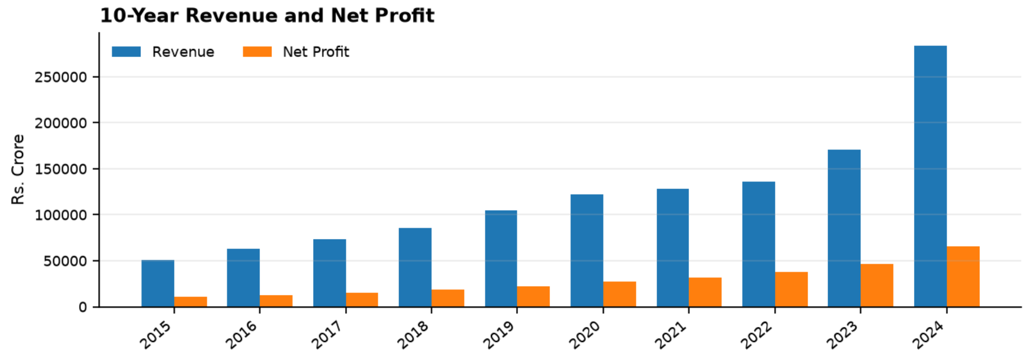
HDFC Bank Ltd

Financials | Private Banks | Latest FY: 2024

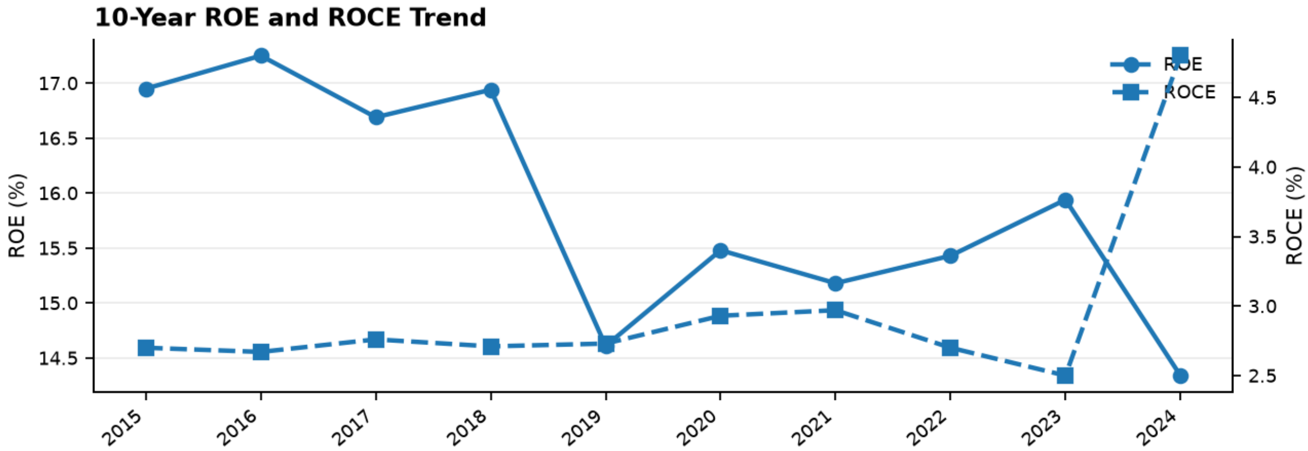
Return on Equity	ROCE	Net Profit Margin
14.3%	4.8%	23.1%

Debt to Equity	Revenue CAGR (5Y)	Free Cash Flow
6.81x	21.9%	Rs. 35,669 Cr

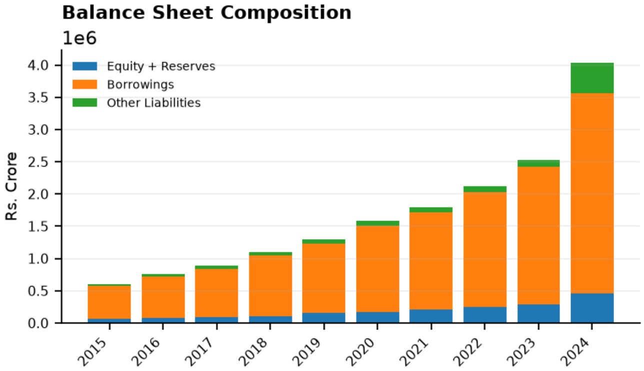
Growth and Earnings

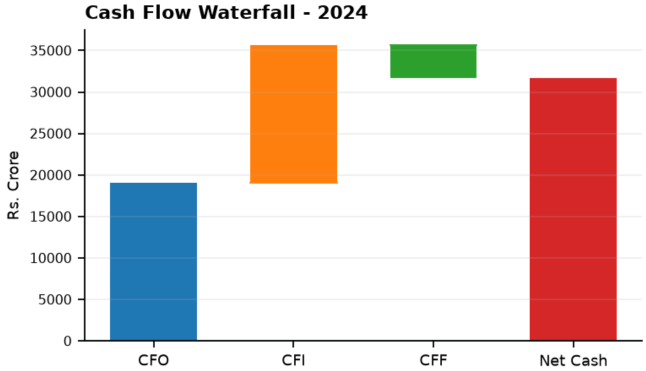


Capital Efficiency Trend



Balance Sheet and Cash Flow





Pros

- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

CAPITAL ALLOCATION

Liquidating Assets